VISIVAULT ANALYTICS

Prairie Home Furnishings: Retail, Inventory & Financial Intelligence

Executive management report - what a furniture retailer can learn from its own data

⚠ **Synthetic demonstration data — not actual company financial or operational records.**

Demonstration developed by VisiVault Analytics Ltd. · October 2026 · Executive report
Prairie Home Furnishings is a FICTIONAL Calgary furniture retailer. Product categories, manufacturers and CAD list prices reflect a public Calgary furniture catalogue (retrieved 2026-10-09); every order, cost, customer and financial figure is synthetic. No relationship with or endorsement by any real company is implied.

Important notice

> This report analyses a **fictional** retailer built on synthetic data to demonstrate VisiVault Analytics' capabilities. None of the figures describe any real company. The analyses are designed to complement - not replace - a retailer's existing POS, ERP, accounting, CRM and e-commerce systems.

1. Executive summary

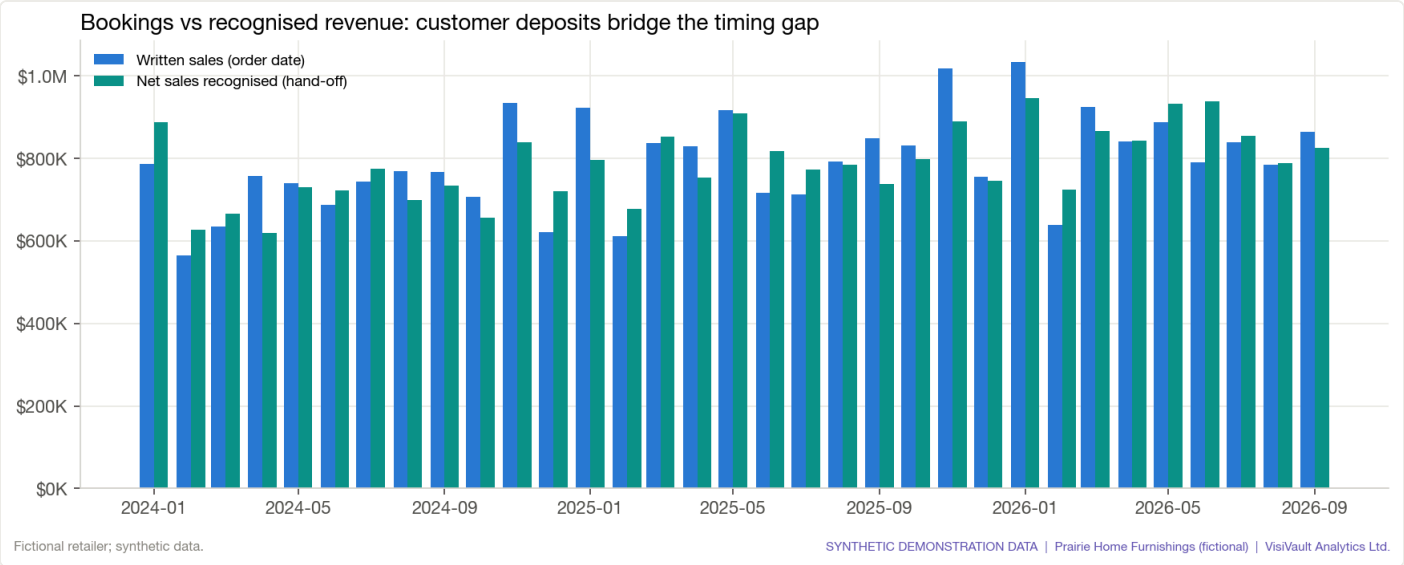
WRITTEN SALES (TTM) **$10.21M** +8.0% vs prior 12 months	EBITDA (TTM) **$945,674** 9.2% of net revenue	OPEN ORDERS **219** $495,984 deposits held	CUSTOM READY ON TIME **54%** vs promised date
CONSULT CONVERSION **52%** AOV $7,246 vs $3,026	AGED STOCK >180 D **$79,770** 58 overstocked SKUs	STOCKOUT SALES LOST **$488,532** trailing 12 months, estimated	BASE FORECAST NET INCOME **$611,286** Oct-26 to Sep-27 (FORECAST)

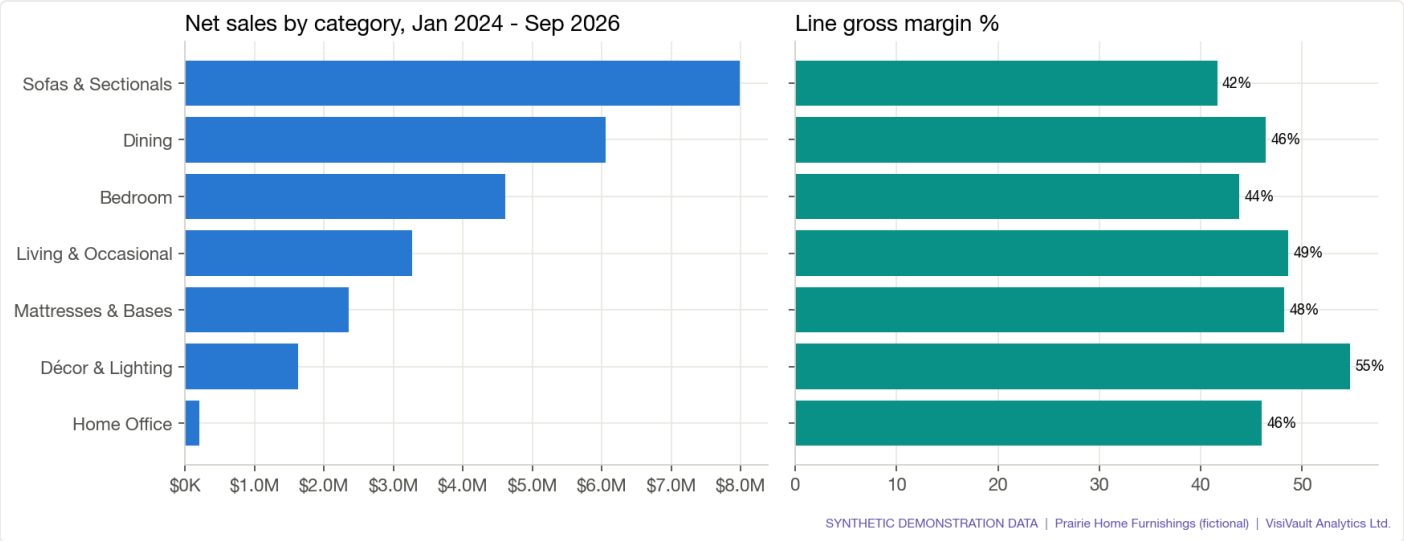
- Trailing-twelve-month written sales are $10.21M (+8.0% vs the prior twelve months) at a 45.3% gross margin. Sofas & Sectionals is the largest category (31% of sales, 42% GM).
- Custom Canadian-made pieces are 26% of sales at a 39.3% line margin vs 47.7% for ready-made stock, but they tie up customers' money and the store's attention for ~60 days per order.
- 219 orders are open (137 custom) worth $1.02M incl. GST; customers have paid $495,984 in deposits and $519,490 is still to collect at pickup. 53 open orders are past their promised ready date.
- Only 54% of custom orders were ready by the promised date; 3.5% of custom orders cancel, mostly after supplier delays. Saturday pickup slots run at 92% utilisation and all 9 slots were full on 139 days.
- Free design consultations convert 52% of the time and the resulting orders average $7,246 vs $3,026 for other orders. Follow-up matters: 32% conversion with no follow-up vs 53% with two. Designer conversion ranges from 47% (DSN-03) to 58% (DSN-01).
- Stocked inventory is $504,088 at cost (7.9 turns a year); 58 SKUs carry more than 180 days of cover ($132,666) and $79,770 has been on the floor more than six months. Carrying cost at 22% a year is ~$109,351. A further $277,917 is customer-allocated (custom and reserved) and already sold.

2. What the platform covers

Module	What management sees
Sales & product profitability	Bookings vs revenue, category/manufacturer margins, promotion lift, associate performance, cross-sell pairs
Inventory intelligence	ABC, FIFO aging, overstock, stockouts, service-level reorder points and safety stock, supplier lead-time monitoring
Custom orders & fulfilment	Open-order tracker with supplier ETA, deposits, balances, aging and model-scored delay risk; pickup-slot and carrier analytics
Customers & design consultations	Low-frequency RFM segments, cohort retention, 5-year value, consult conversion by designer/follow-up, pipeline forecast
Financial intelligence	Double-entry ledger, monthly/annual statements, common-size and ratios, integrated 12-month forecast, Excel model with scenarios

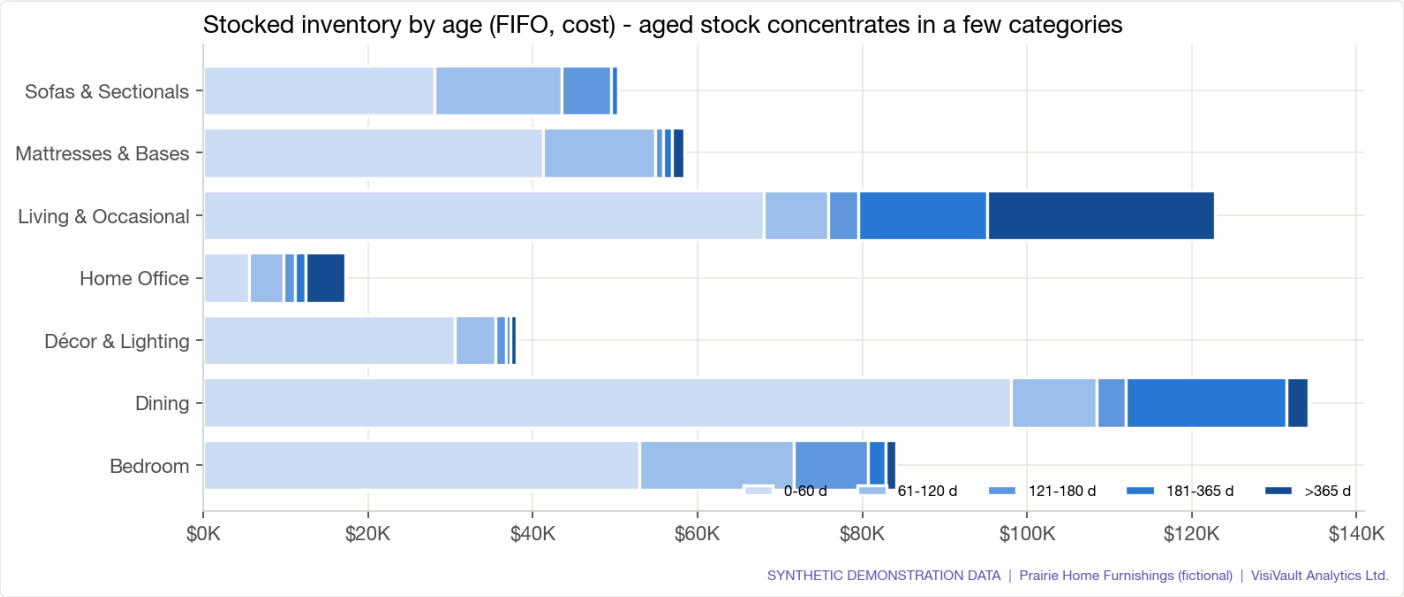
3. Sales and product profitability





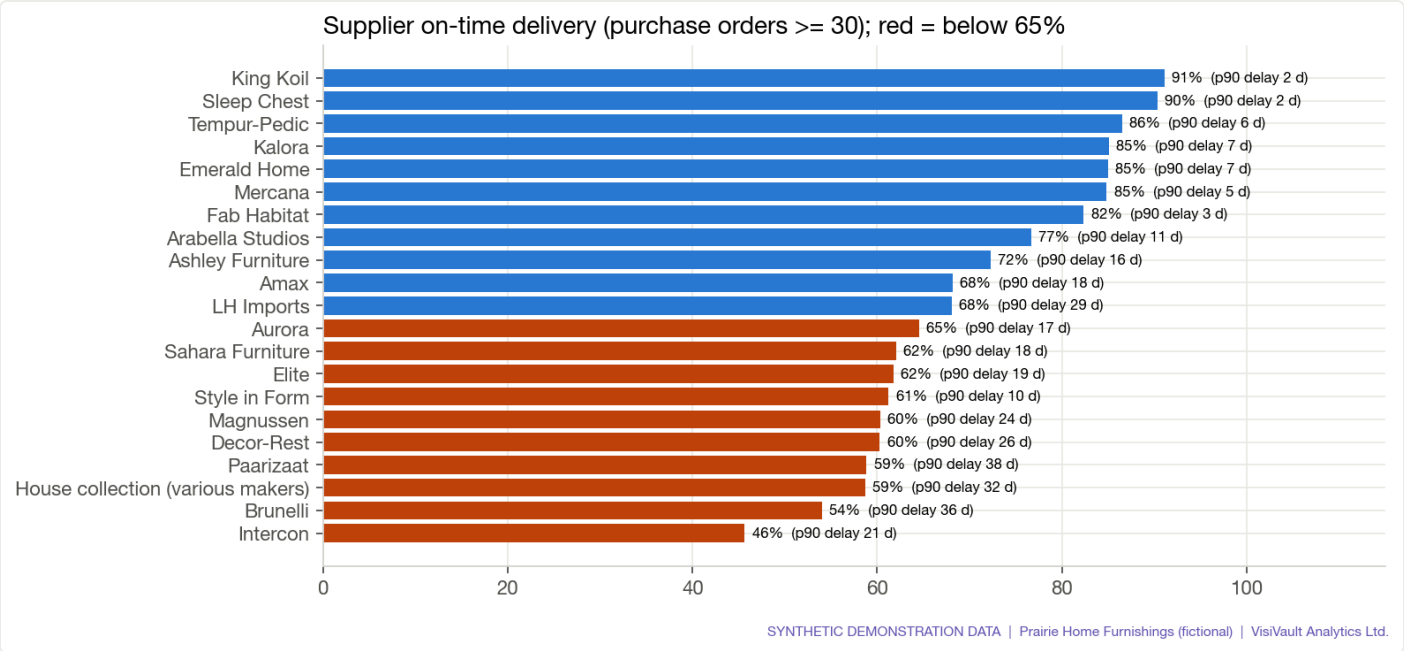
Promotions generated $650,281 of incremental gross profit against $795,082 of discounts. Best: New Year Blowout 2024 ($238,888 incremental GP); weakest: Holiday Sale 2025 (-$76,099). Strongest attachment: Dining chairs -> Sideboards & buffets (confidence 24%, lift 5.5x) - a candidate for bundles and room packages. Gross margin by sales associate ranges from 44.7% (EMP-S09) to 45.7% (EMP-S07); the share of lines carrying a discretionary discount ranges from 4.4% (EMP-S02) to 6.2% (EMP-S05).

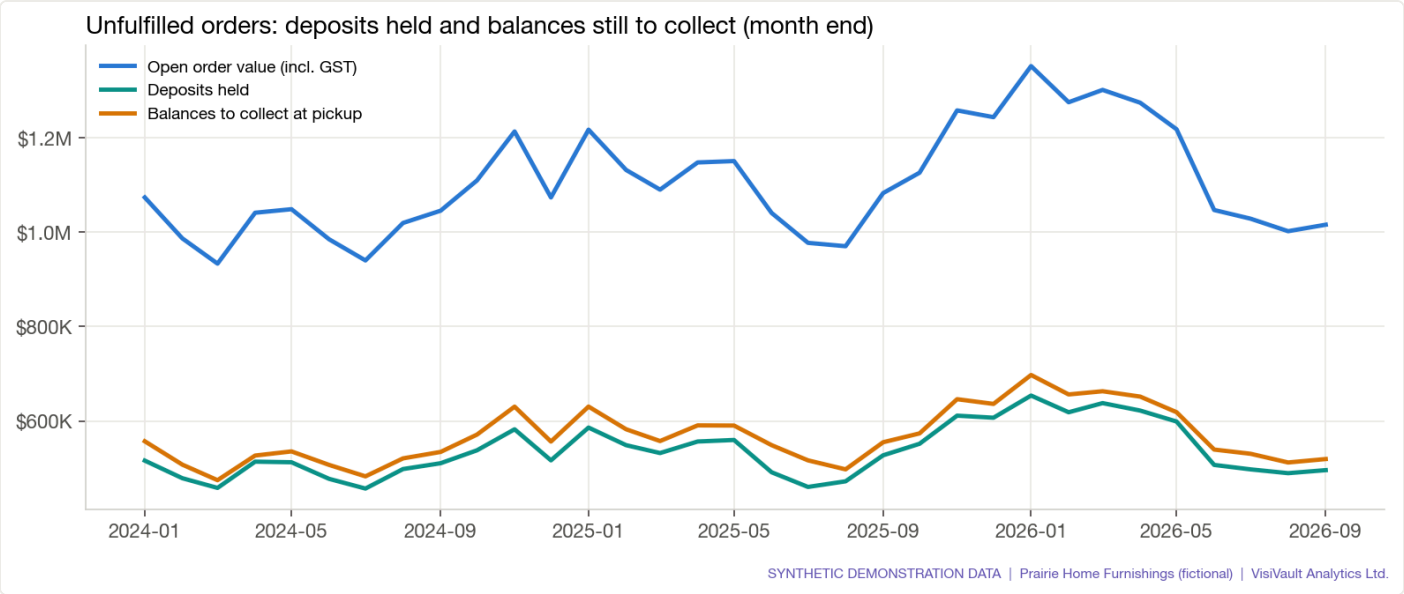
4. Inventory intelligence



Stocked inventory is $504,088 at cost (7.9 turns a year); 58 SKUs carry more than 180 days of cover ($132,666) and $79,770 has been on the floor more than six months. Carrying cost at 22% a year is ~$109,351. A further $277,917 is customer-allocated (custom and reserved) and already sold. Stockouts on ready-made lines cost an estimated $488,532 of sales in the last twelve months, while slow lines sit overstocked - 133 SKUs should be reordered now under service-level reorder points.

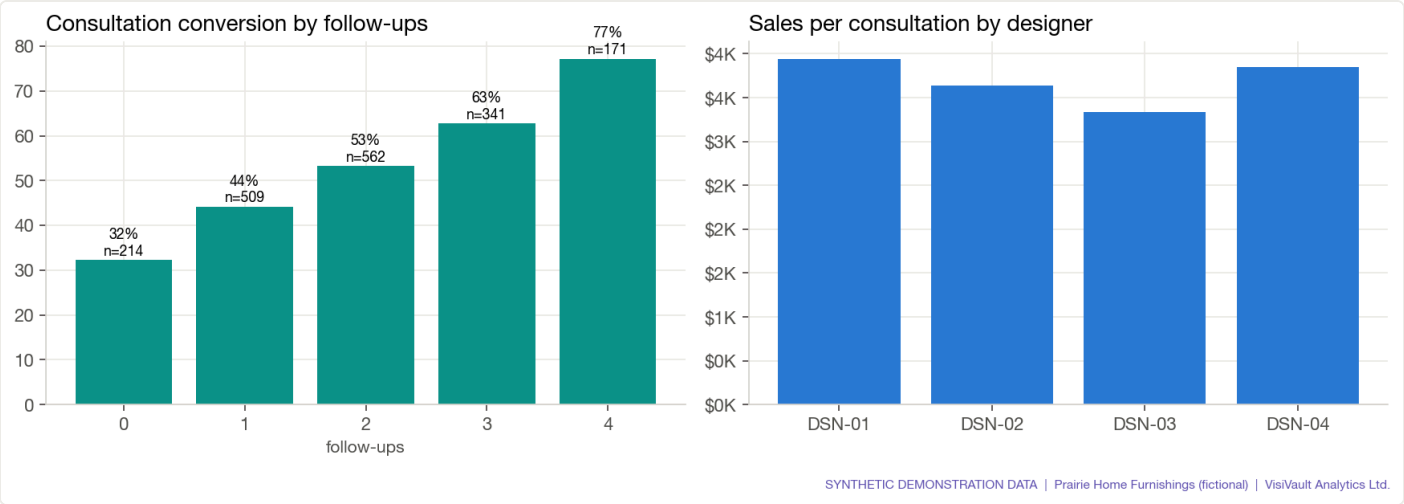
5. Custom orders, suppliers and fulfilment





Suppliers delivered 71% of purchase orders on time; Intercon (Specialty importer) is weakest at 46% on time with a 90th-percentile delay of 21 days. Only 54% of custom orders were ready by the promised date; 3.5% of custom orders cancel, mostly after supplier delays. Saturday pickup slots run at 92% utilisation and all 9 slots were full on 139 days.

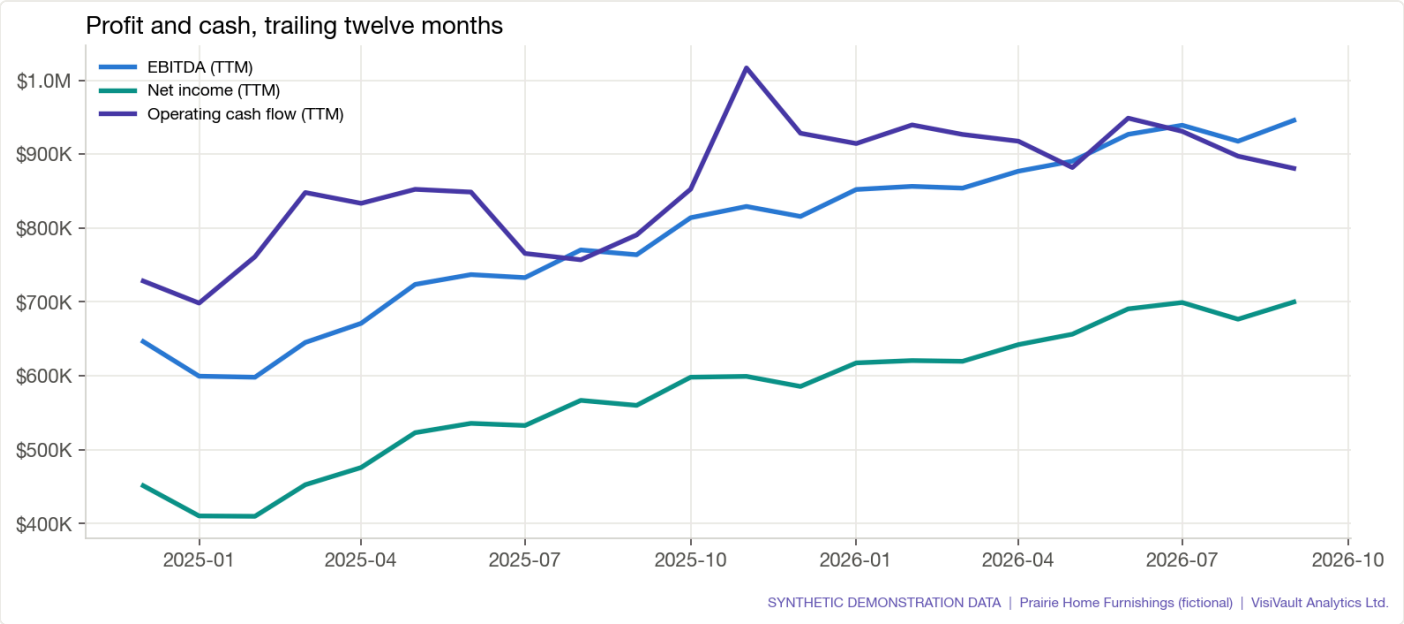
6. Customers and design consultations

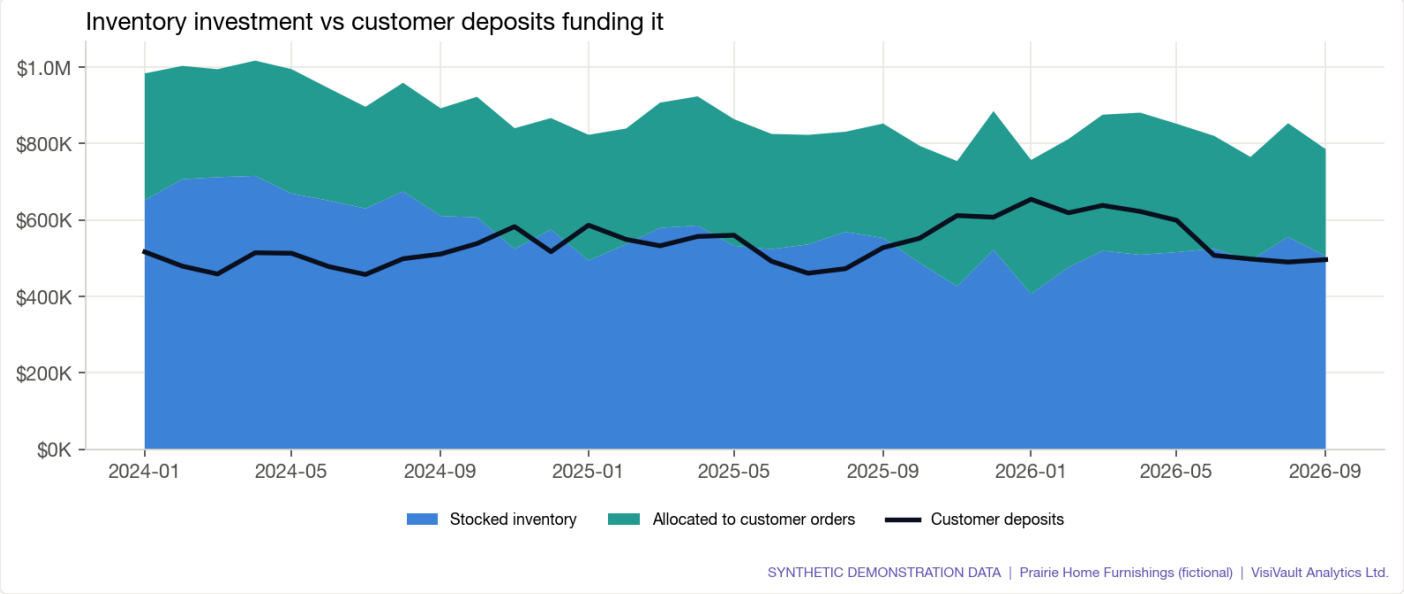


Furniture is bought rarely: only 8% of first-time buyers return within 12 months (13% within 24). Value therefore comes from basket size and referrals; estimated 5-year customer value averages $2,153 of gross profit. Free design consultations convert 52% of the time and the resulting orders average $7,246 vs $3,026 for other orders. Follow-up matters: 32% conversion with no follow-up vs 53% with two. Designer conversion ranges from 47% (DSN-03) to 58% (DSN-01).

7. Financial performance

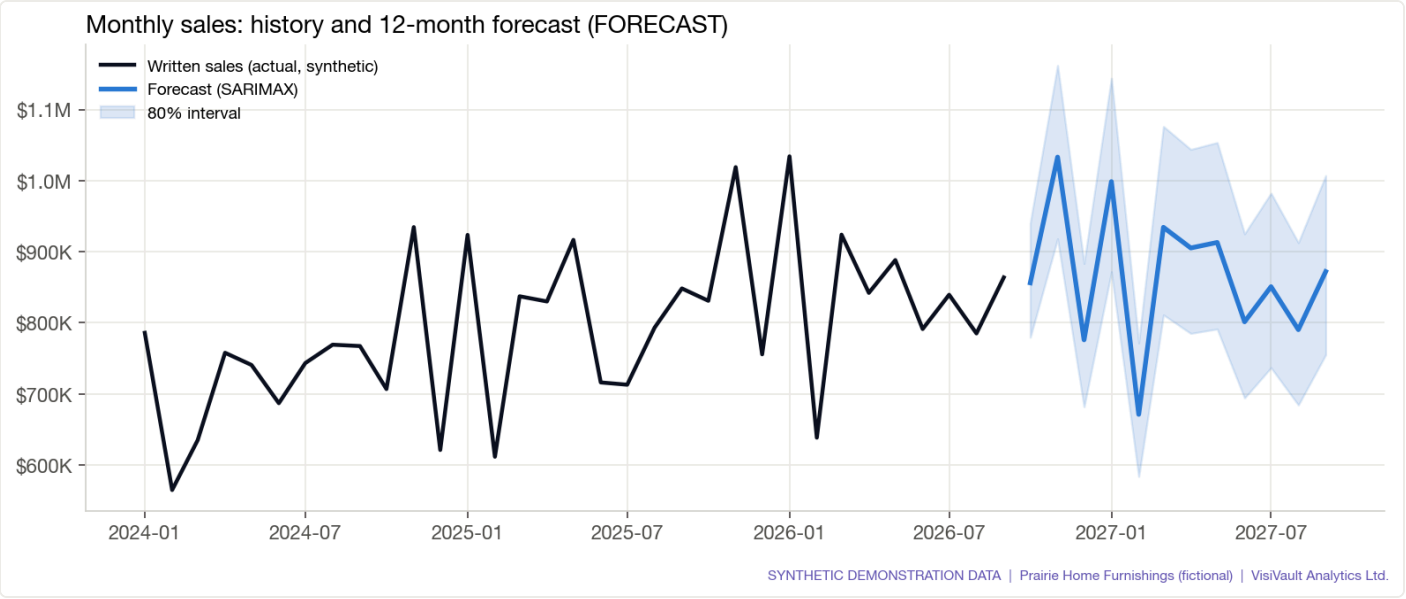
CAD	FY2024	FY2025	YTD Sep-2026
Gross furniture sales	9,361,988	10,202,204	8,284,231
Less: discounts & promotional allowances	(553,066)	(591,272)	(492,454)
Less: sales returns	(133,394)	(75,029)	(70,475)
Net furniture sales	8,675,528	9,535,903	7,721,302
Total net revenue	8,773,006	9,632,822	7,785,022
Cost of goods sold	(4,978,726)	(5,474,916)	(4,448,771)
Gross profit	3,794,280	4,157,906	3,336,252
Operating expenses (before depreciation)	(3,148,074)	(3,342,328)	(2,594,287)
EBITDA	646,206	815,578	741,964
Depreciation	(99,673)	(111,357)	(69,756)
Interest expense	(38,618)	(21,836)	(10,078)
Income taxes	(56,821)	(96,949)	(92,290)
Net income	451,095	585,437	569,840





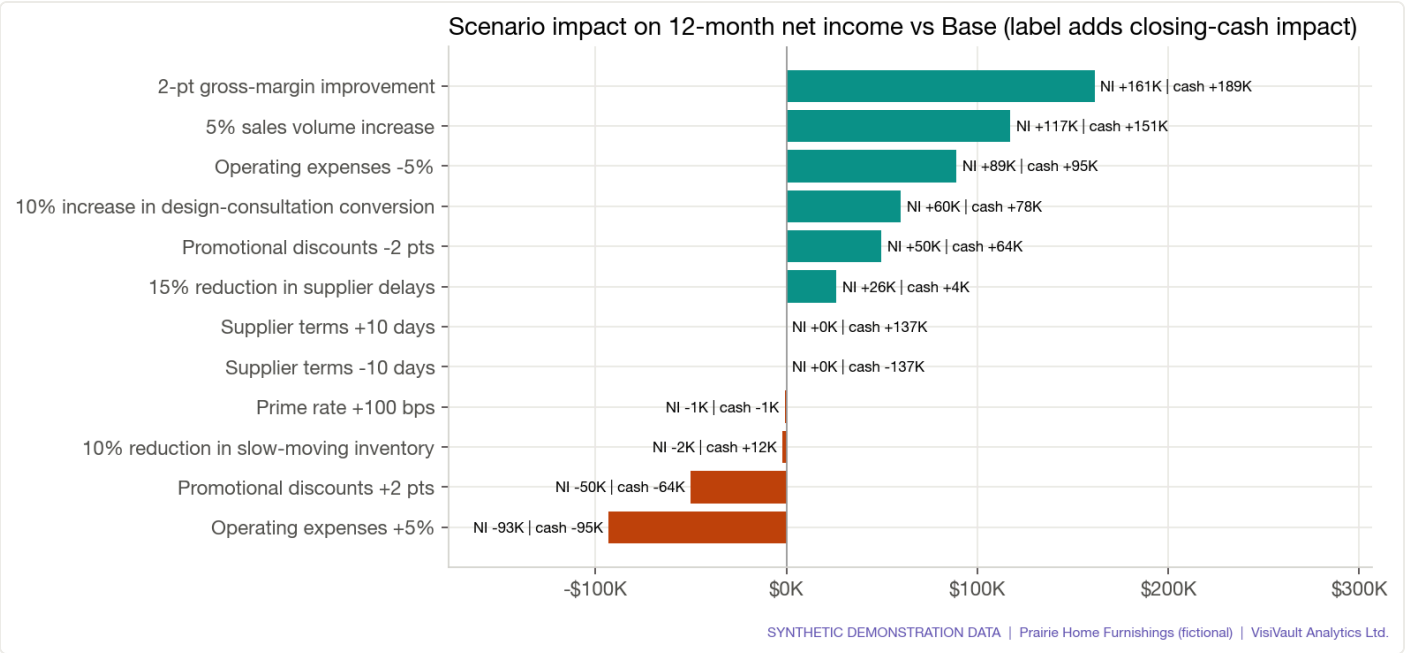
Customer deposits fund roughly 63% of inventory, so the effective cash conversion cycle falls from 20 days to -16 days after deposits. The business holds more cash than it needs - an opportunity to repay debt or invest.

8. Forecasts and scenarios (FORECAST)



model	WAPE_holdout	WAPE_mean_all_origins	bias_pct_holdout	PI80_coverage_mean
SARIMAX	3.8%	6.1%	+0.6%	94%
Seasonal naive	5.8%	5.4%	+3.6%	72%
XGBoost	12.5%	19.7%	+8.3%	33%

Accuracy is measured on synthetic data with time-based backtests (holdout Jan-Sep 2026 plus rolling origins); it is not evidence of accuracy on any real retailer's data.



9. Recommendations

#	Area / action	Pre-tax, 12m	Cash, 12m	Effort / timing
1	**Design consultations** Standardise a two-touch follow-up within 7 days of every design consultation	$37,596	$37,521	Low / 0-3 months
2	**Inventory** Clear 30% of slow-moving stock and move A-items to service-level reorder points	$55,147	$36,671	Medium / 0-6 months
3	**Treasury** Deploy surplus cash: repay the term loan early and hold a treasury reserve	$27,609	$0	Low / 0-3 months
4	**Supplier & fulfilment** Supplier scorecards and lead-time buffers for the three least reliable suppliers	$34,100	$4,340	Medium / 3-6 months
5	**Gross margin** Approval bands for discretionary discounts and price-match tracking	$16,183	$16,011	Low / 0-3 months
6	**Sales** Room packages: Dining chairs + Sideboards & buffets bundle with designer styling	$15,606	$14,045	Low / 0-3 months
7	**Working capital** Negotiate Net 45 with the largest importers and distributors	$0	$136,635	Medium / 3-9 months
8	**Fulfilment** Add four Saturday pickup slots and offer weekday-pickup incentives	$0	$0	Low / 0-3 months

1. Standardise a two-touch follow-up within 7 days of every design consultation

Estimate: pre-tax $37,596, cash $37,521 (12 months). **How calculated:** 40% of consultations get fewer than two follow-ups and convert well below the 53% achieved with two. Closing half of that gap lifts overall conversion +4.8% relative; the forecast engine re-run with consultation conversion +4.8%. **Assumptions:** Follow-up is a driver of conversion, not only a marker of keen customers (to be tested with an A/B rota); designer capacity is sufficient. **KPIs:** Consult-to-order conversion, days to first follow-up, revenue per consultation

2. Clear 30% of slow-moving stock and move A-items to service-level reorder points

Estimate: pre-tax $55,147, cash $36,671 (12 months). **How calculated:** Engine re-run clearing 30% of the $132,666 of >180-day-cover stock (20% markdown). Plus 30% of the $488,532 TTM stockout sales recovered by the recommended reorder points at the 43% gross margin ($63,107). **Assumptions:** Reorder points from inventory_intelligence.csv (95/90/85% service by ABC class); clearance through events and bundles. **KPIs:** Inventory turnover, aged (>180 d) stock $, stockout events, fill rate

3. Deploy surplus cash: repay the term loan early and hold a treasury reserve

Estimate: pre-tax $27,609, cash $0 (12 months). **How calculated:** Base forecast minimum month-end cash $1,520,293 vs a $600,000 operating reserve; $920,293 could earn ~3% or retire the remaining term loan. **Assumptions:** Customer deposits must stay covered by liquid assets; reserve sized to two months of supplier payments. **KPIs:** Cash vs reserve, net interest, deposit coverage

4. Supplier scorecards and lead-time buffers for the three least reliable suppliers

Estimate: pre-tax $34,100, cash $4,340 (12 months). **How calculated:** Weakest on-time performance: Intercon (46%), Brunelli (54%), House collection (various makers) (59%). Engine re-run with supplier delays -15% (revenue recognised earlier, fewer delay-driven cancellations). **Assumptions:** Monthly scorecard reviews, realistic quoted lead times and alternate makers for persistently late lines reduce late weeks by 15%. **KPIs:** Supplier on-time %, custom orders ready by promise date, delay-driven cancellations

5. Approval bands for discretionary discounts and price-match tracking

Estimate: pre-tax $16,183, cash $16,011 (12 months). **How calculated:** Discretionary discounts touch 5% of sales. Engine re-run with the overall discount rate 0.5 pt lower. **Assumptions:** No volume loss: discretionary discounts close sales that would mostly have closed anyway; promotions unchanged. **KPIs:** Average discount %, share of lines with discretionary discount by associate, gross margin %

6. Room packages: Dining chairs + Sideboards & buffets bundle with designer styling

Estimate: pre-tax $15,606, cash $14,045 (12 months). **How calculated:** Dining chairs buyers already add Sideboards & buffets 24% of the time (lift 5.5x). Raising attachment by 5 pts adds ~20 items a year at ~$1,851 and a 43% margin. **Assumptions:** Bundle priced at 5% off the second item; attachment lift of 5 pts is a target, not an estimate. **KPIs:** Attachment rate, items per order, AOV

7. Negotiate Net 45 with the largest importers and distributors

Estimate: pre-tax $0, cash $136,635 (12 months). **How calculated:** Engine re-run with supplier payment days +10. **Assumptions:** Volume commitments in exchange for terms; no price increase. **KPIs:** DPO, cash conversion cycle

8. Add four Saturday pickup slots and offer weekday-pickup incentives

Estimate: pre-tax $0, cash $0 (12 months). **How calculated:** Saturday slots run at 92% utilisation and all 9 slots were full on 139.0 days; customers waiting for a slot delay hand-off (and therefore revenue recognition and balance collection). **Assumptions:** Warehouse staff rota shift; benefit is customer experience and faster cash collection, not modelled as profit. **KPIs:** Pickup wait days, slot utilisation by weekday, customer satisfaction

10. Data limitations

- All operational and financial records are synthetic; behaviour (seasonality, delays, conversion, margins) follows documented assumptions, so findings illustrate methods, not facts about any real retailer.
- Only product names, manufacturers, list prices and published policies (pickup slots, deposits-before-pickup, returns, custom-order terms, delivery paid to carriers, free design consults, financing) come from public sources.
- Models were trained on 33 months of synthetic history; monthly sales models have ~21 training months before the holdout.

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